

Ultra Sound Money: Ethereum's Supply Dynamics & Monetary Th

Post-merge ETH economics: issuance, burn, staking, and monetary premium

Current Supply

121,603,980 ETH

Current Gas

0.1 Gwei avg

ETH Price

\$2,243

Audience: crypto-native investors and Ethereum ecosystem participants

- Focus: post-merge supply dynamics and monetary premium formation
- Thesis lens: data-forward, analytical, conviction-driven
- Key context: low-activity regime currently suppresses fee burn

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in

Net 7D Supply Change

+19,445.89 ETH

Offset Ratio

0.01x burn/issuance

Current Total Supply

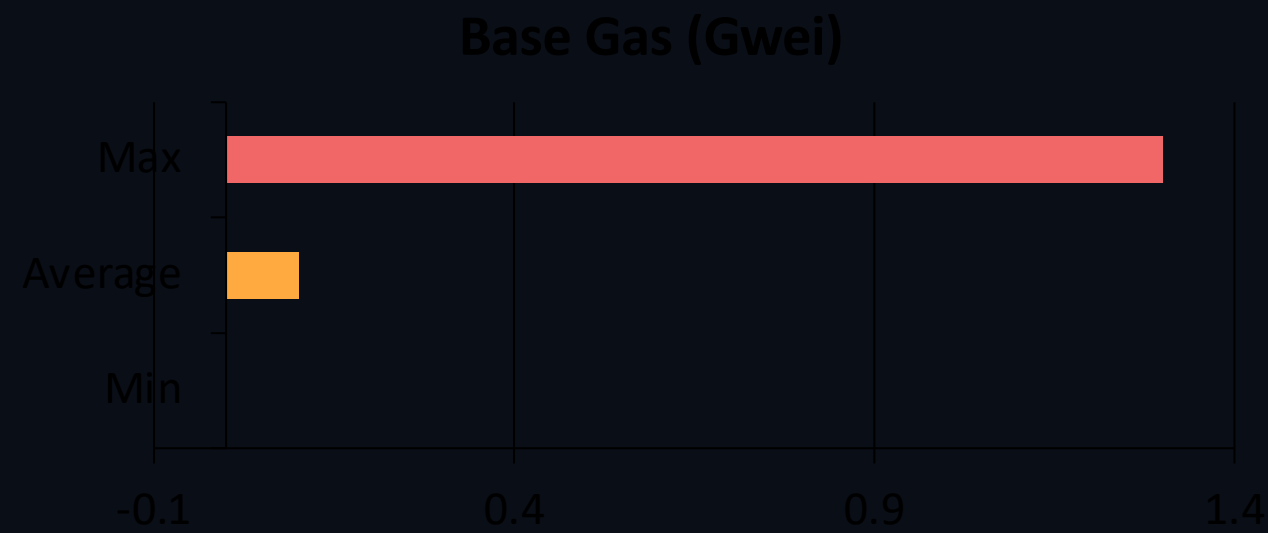
121,603,980 ETH



Snapshot (7D):

- Issued: 19,638.29 ETH
- Burned: 192.39 ETH
- Net Change: +19,445.89 ETH
- Annualized supply growth: +0.83%

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn



Mechanics

- EIP-1559 burns base fee per transaction
- Low base gas directly reduces ETH burn
- Current gas is far below long-term equilibrium assumption
- Low gas = low burn = temporary supply inflation

Blob Gas Avg

~7.1M wei

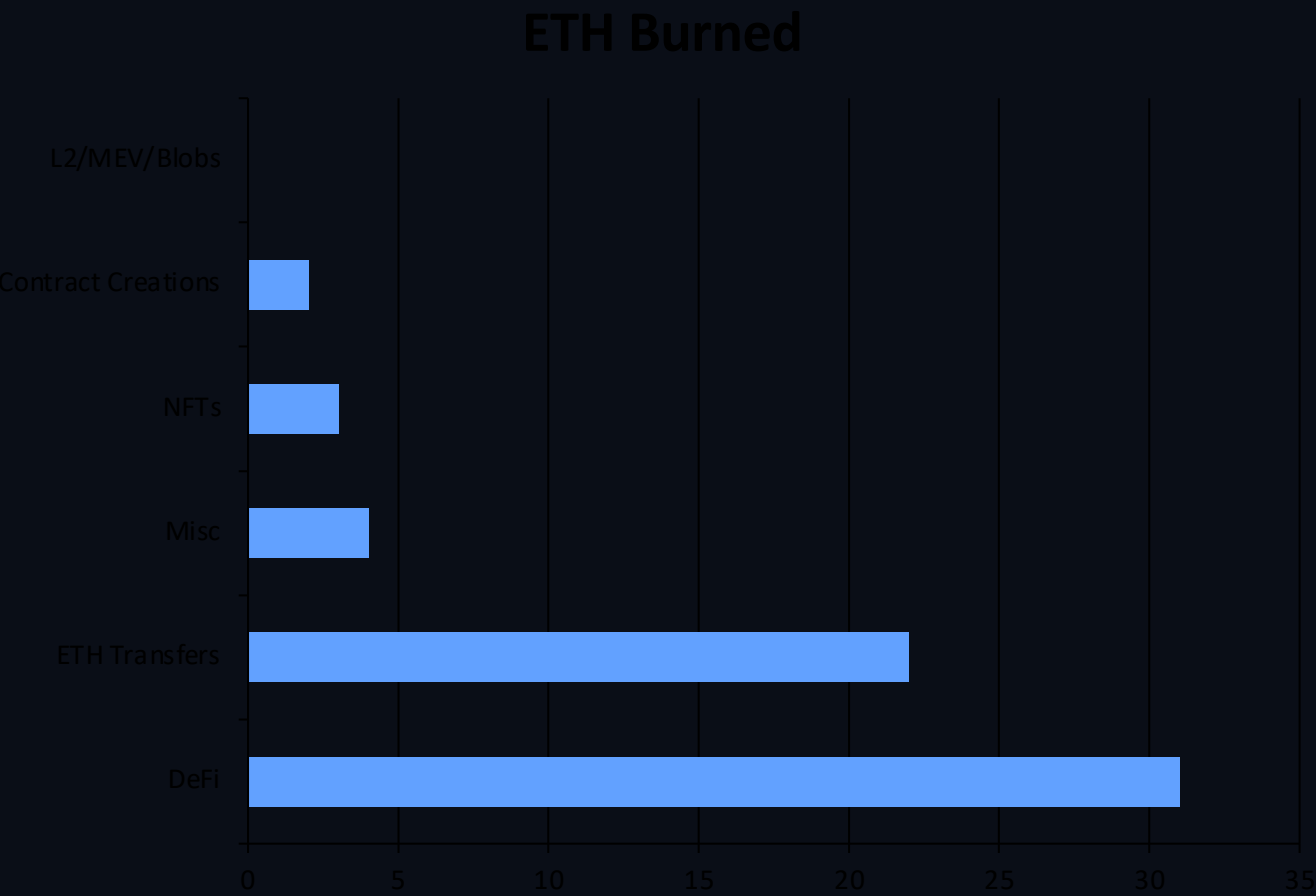
Blob Burn (7D)

0.15 ETH

Projection Equilibrium Gas

22 Gwei assumption

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn



Top Burn Leaderboard (ETH)

- ETH transfers: 21.7
- Tether: 13.6
- Uniswap V2: 4.0
- 1inch v6 Aggregation Router: 3.6
- MetaMask: 3.4
- 0x Exchange Proxy: 2.9

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

ETH Staked

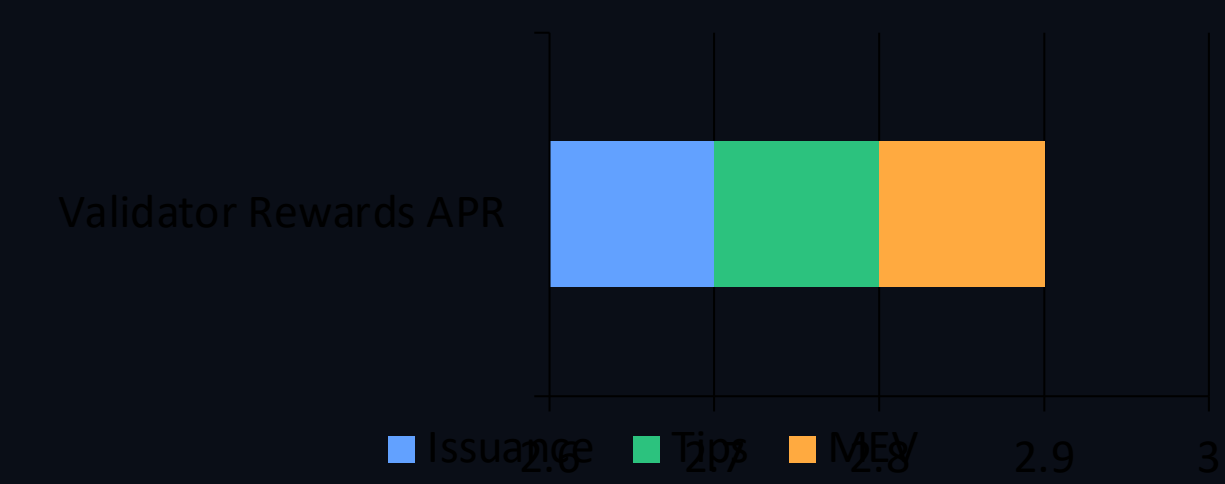
38.9M ETH (32% supply)

Supply Locked

9.1M ETH

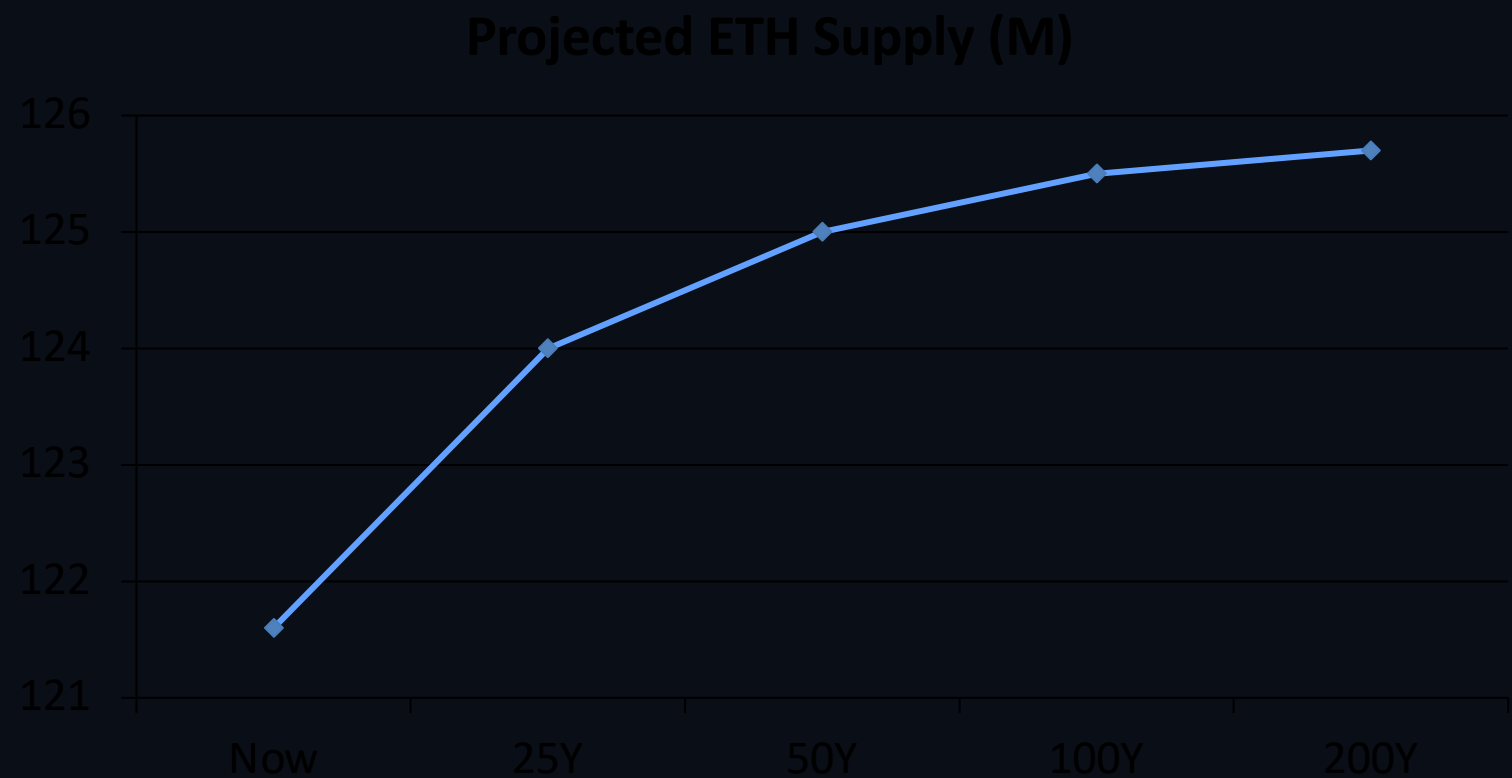
Avg Lock Duration

10.7 years



- Scarcity Engine**
- Staking removes liquid supply from circulation
 - Rewards are primarily issuance-driven in current regime
 - Tips + MEV remain small at low activity levels

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH



Staked Assumption

39M ETH

Base Gas Assumption

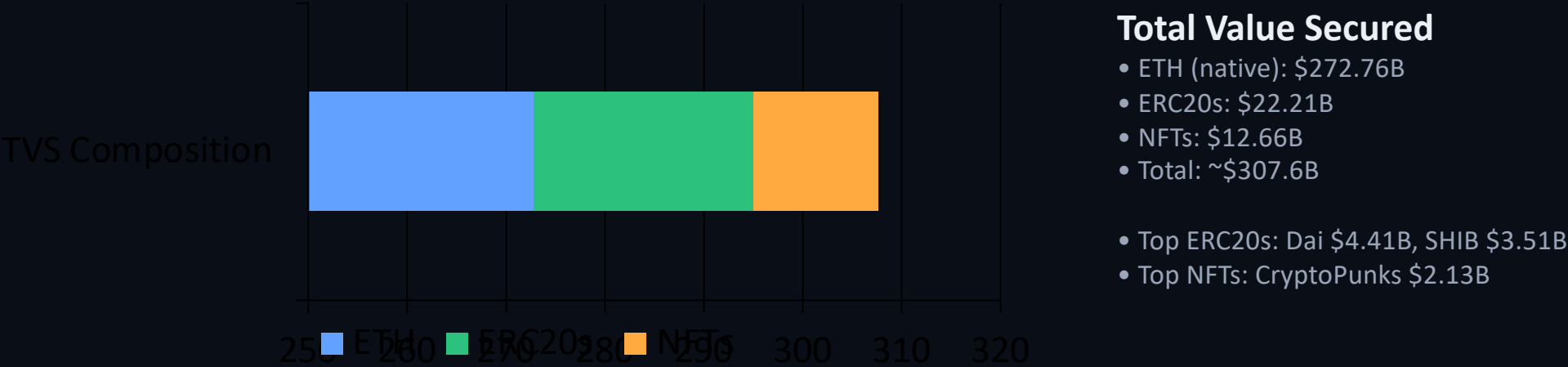
22 Gwei

Daily Flows

2.8K issue / 2.2K burn

Era context: Genesis (5 ETH/block) → Byzantium/Constantinople reductions → Merge PoW removal → post-EIP-1559 burn regime.

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value



BTC

18.7%

Gold

0.89%

USD

1.30%

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity

Investor framing

- ETH is currently slightly inflationary at +0.83%/yr because average gas is just 0.1 Gwei.
- The burn mechanism remains functional, but burn offsets only ~1% of issuance in current low-activity conditions.
- 38.9M ETH staked (32% of supply) and 9.1M ETH locked for 10.7 years reinforce long-duration scarcity.
- Long-term equilibrium still converges near 125.7M ETH under 39M staked and ~22 Gwei base gas assumptions.
- Monetary premium is building: ETH stands at 18.7% of BTC market cap while securing ~\$307.6B in on-chain value.

Bottom line: ultra sound money is a structural thesis, but near-term supply path is highly sensitive to activity and fee demand.